



FAIR PRACTICES CODE

Version	Date	Prepared By	Authorized By	Description
1.0		Compliance Team	Board	Initial Publication

I. Policy Objectives and Scope

Shuhari Finance Private Limited (“**Shuhari Finance/Company**”) being an NBFC, is committed to conducting its business in a manner that complies with the Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025 as issued by the Reserve Bank of India (“**RBI**”). Consistent with that objective, Shuhari Finance maintains this Fair Practices Code (“**FPC**”) to promote fairness, transparency, and borrower protection during the loan process. This policy applies to all loans originated by Shuhari Finance, including those facilitated through any Lending Service Providers (LSPs) and their Digital Lending Application (DLA). This FPC has been approved by Shuhari Finance’s Board of Directors and shall be reviewed annually.

II. Policy Statement

This FPC sets out the principles and standards adopted by the Company to ensure fair, transparent, and ethical conduct in all its dealings with customers, in line with the guidelines issued by the Reserve Bank of India (RBI). The Company is committed to treating customers with dignity, fairness, and respect; providing clear and accurate information to enable informed decision-making; and maintaining transparency in the pricing, terms, and conditions of its products and services. The FPC also seeks to promote responsible business practices, protect customer interests, ensure non-discriminatory treatment, and establish an effective grievance redressal mechanism. Compliance with this FPC forms an integral part of the Company’s governance and customer service framework.

III. Summary of Applicable law

a. Transparency of the loan process

Shuhari Finance will disclose all necessary information required to make an informed decision regarding the credit process. Shuhari Finance will disclose all charges, including interest rate, fees, penalties, and any other upfront charges applicable to the Borrower in the Key Fact Statement.

The loan application shall include necessary information which affects the interest of the borrower, so that a meaningful comparison with the terms and conditions offered by another lender can be made, and informed decision can be taken by the borrower. The loan application shall indicate the documents required to be submitted.



Shuhari Finance will issue an acknowledgement receipt for all loan applications received. The acknowledgement will state the timeframe in which a credit decision will be made. If additional information is required during the loan process, Shuhari Finance will notify the applicant of any details or documentation that is required to continue the loan process.

If Shuhari Finance is unable to grant the loan request, it will, in writing, notify the applicant of the denial along with reasons for the denial.

b. Loan Appraisal and Terms and Conditions

Shuhari Finance will conduct due diligence on the creditworthiness of the borrower, which will be in accordance with its credit policies and procedures.

Upon approval, Shuhari Finance will provide the applicant, in writing, with the terms and conditions of the loan. Shuhari Finance shall provide the applicant with a Key Fact Statement ("KFS") and Loan Agreement terms in a language understood by the Borrower.

Shuhari Finance shall provide the borrower with a repayment schedule specifying the exact due dates, the frequency of repayment, and the break-up between principal and interest. The repayment schedule shall form part of the loan agreement, and the borrower shall be apprised of it at the time of sanction and at the time of any subsequent change to the sanction terms until full repayment of the loan.

Illustrative examples of the dates on which the account would be classified as a Special Mention Account (SMA) and as a Non-Performing Asset (NPA) in the event of non-payment will be stated in the Sanction Letter.

Shuhari Finance, shall furnish a copy of the loan agreement as understood by the borrower along with a copy each of all enclosures quoted in the loan agreement to all the borrowers at the time of sanction / disbursement of loans.

i. Key Fact Statement

The KFS shall be provided to the applicant upon loan approval and should contain a unique proposal number that is valid for at least three (3) business days from the date of issuance and the fully indexed Annual Percentage Rate. The KFS shall also contain, at minimum:

- (a) the name and logo of Shuhari Finance and any LSP involved in the transaction;
- (b) the loan amount and tenure;
- (c) the Annual Percentage Rate (APR) expressed on an annualized basis, including all fees and charges;
- (d) the all-in cost of the loan expressed as APR, including processing fees and any embedded insurance premiums;
- (e) the cooling-off period and the procedure for exercising the borrower's right to exit;
- (f) the contact details of Shuhari Finance's Grievance Redressal Officer (GRO); and
- (g) details of any contingency charges, if applicable.



The KFS shall also be included as a summary box as an appendix to the loan agreement. Shuhari Finance shall provide borrowers a cooling-off period from the date of loan disbursement, during which the borrower may exit the loan without penalty by repaying the principal and proportionate APR for the period of utilization. The KFS and loan agreement shall specify the duration of the cooling-off period and the procedure for exercising this right.

ii. **Pre-payment Penalties and other Fees**

Shuhari Finance shall not charge any fees not disclosed to the applicant in the KFS without explicit consent from the applicant.

The loan agreement shall specify the instances where Shuhari Finance has the right to recall or accelerate payment or performance in accordance with the provisions of the Loan Agreement. Any fees charged for late payments shall be in bold font typeface in the loan agreement. In addition, the reasons for penalty charges shall be clearly disclosed on the loan agreement, as well as Shuhari Finance's website. Shuhari Finance shall levy penal charges only as a flat charge as disclosed in the KFS and shall not capitalize penal charges into the outstanding loan principal (i.e., penal interest is prohibited).

c. **Disbursement of loans and Change in Terms**

Shuhari Finance will ensure timely disbursement of loan proceeds in accordance with the terms of the loan agreement. All loan disbursements shall be made directly and exclusively to the borrower's bank account registered with Shuhari Finance. Disbursement of loan proceeds to any third-party account, including any Lending Service Provider, is prohibited. Any repayments by the borrower shall similarly be directed to Shuhari Finance's designated account and not through any LSP.

Any change in interest rates, charges, or other terms and conditions shall be effected only prospectively and shall not be applied retrospectively to amounts already accrued, except where mandated by law or regulation.

d. **General**

All communications to the applicant or borrower shall be in the vernacular language or in a language understood by the applicant or borrower.

Shuhari Finance shall not discriminate on the grounds of sex, gender, caste, religion, race, color, national origin, disability, or any other characteristic prohibited under applicable law when determining the creditworthiness of any applicant. Shuhari Finance will also refrain from harassing borrowers, attempting contact at unusual hours and resorting to physical violence in the matter of repayment.

In case of receipt of request from the borrower for transfer of borrowal account, the consent or otherwise i.e., objection of Shuhari Finance, if any, shall be conveyed within 21 days from the date of receipt of request. Such transfer shall be as per transparent contractual terms in consonance with law.

Shuhari Finance will not interfere in the borrower's affairs except for the purposes of provided in the loan agreement (unless information, not earlier disclosed by the borrower, has been noticed).

Shuhari Finance shall display on its website, the names of agents, LSPs and DLAs engaged by it to offer its products to the borrowers.



Shuhari Finance shall disclose to the borrower, in KFS, the name of the relevant recovery agent appointed by the Company to ensure recovery of the loan extended to the borrower(s).

In the matter of recovery of loans, Shuhari Finance shall not resort to harassment or coercion. Without limitation, neither Shuhari Finance nor its recovery agents shall contact the borrower before 8:00 a.m. or after 7:00 p.m.; persistently call the borrower; contact, harass or disclose loan information to the borrower's relatives, friends or co-workers except to the extent permitted; or resort to public humiliation, intimidation, threatening or anonymous calls, inappropriate messages, or the use or threat of violence.

Shuhari Finance shall release all securities, if any, on repayment of all dues or on realisation of the outstanding amount of the loan, subject to any legitimate right or lien for any other claim Shuhari Finance may have against the borrower. If such right of set-off is to be exercised, the borrower shall be given notice of the same with full particulars of the remaining claims and the conditions under which Shuhari Finance is entitled to retain the securities until the relevant claim is settled or paid.

Shuhari Finance shall treat all personal and financial information of borrowers as confidential and shall not disclose such information to any third party except with the borrower's consent, to the extent required to provide the services, or as permitted or required by applicable law, including the Digital Personal Data Protection Act, 2023 and applicable RBI directions.

This Fair Practices Code shall be placed on Shuhari Finance's website and made available, on request, in a language understood by the borrower, and shall apply to all dealings with borrowers, including those carried out through Shuhari Finance's Lending Service Providers and Digital Lending Applications.

e. Grievance

Shuhari Finance is committed to addressing borrower grievances in a fair, transparent, and timely manner.

Borrowers who have a complaint regarding any product, service, or practice may contact the GRO through the contact details published in the KFS and on Shuhari Finance's digital platforms. Shuhari Finance will acknowledge complaints promptly and endeavor to resolve all grievances within 30 days of receipt. If a complaint is not resolved within 30 days of receipt, or if the borrower is dissatisfied with Shuhari Finance's resolution, the borrower may register the grievance with the Reserve Bank of India through the Complaint Management System (CMS) portal at <https://cms.rbi.org.in>

Shuhari Finance's final response letter shall inform the borrower of this right. The GRO is a senior officer designated by Shuhari Finance with authority to resolve complaints. The GRO's name, email address, and telephone number shall be published on Shuhari Finance's website, app, and in the KFS. Please refer to Shuhari Finance Grievance Redressal Policy.

f. Interest Rate

The Company has laid out appropriate internal principles and procedures to determine the interest rates and processing and other charges in its Interest Rate and Charges Policy.



The Company has adopted an interest rate model taking into account relevant factors to determine the rate of interest to be charged for loans and advances and the approach for gradations of risk and rationale for charging different rate of interest to different categories of borrowers shall be disclosed.

The rate of interest will be communicated explicitly in the sanction letter and KFS.

The Interest Rate and Charges Policy, including the approach for gradations, is available on the website of the Company. Please see our Interest Rate Policy.